

TOTAL KENYA LIMITED

UNAUDITED HALF YEAR RESULTS AS AT 30 JUNE 2009

BALANCE SHEET	30 Jun 2009 KSh'Million	30 Jun 2008 KSh'Million
ASSETS		
Non current assets		
Property plant and equipment	2,240	2,229
Deferred taxation	97	36
Goodwill	337	337
Total non-current assets	2,674	2,602
Current assets		
Inventories	4,784	5,338
Accounts receivable and other assets	5,839	8,009
Cash and bank balances	457	599
Total current assets	11,080	13,946
TOTAL ASSETS	13,754	16,548
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	875	875
Share premium	1,968	1,968
Revenue reserve	1,774	2,067
Shareholders' equity	4,617	4,910
Current liabilities		
Trade and other payables	4,011	9,765
Short term borrowings	5,126	1,873
Total current liabilities	9,137	11,638
TOTAL EQUITY AND LIABILITIES	13,754	16,548

INCOME STATEMENT	30 Jun 2009 KSh'Million	30 Jun 2008 KSh'Million
Turnover	15,318	26,284
Indirect taxes	(3,587)	(5,151)
Net turnover	11,731	21,133
Cost of sales	(10,732)	(19,342)
Gross profit	999	1,791
Other income	45	49
Depreciation and amortisation	(160)	(153)
Operating expenses	(657)	(648)
Operating profit	227	1,039
Finance costs - net	(177)	(159)
Foreign currency exchange differences	5	23
Profit before taxation	55	903
Taxation	(18)	(306)
Net Profit	37	597

COMMENTS FROM THE MANAGEMENT

As compared to the same period in 2008, this year's half year results reflect the effects of the sharp decline in international crude prices towards the end of 2008. Local pump prices were forced down due to the very stiff competition in the market and public pressure in response to the falling international prices, adversely affecting the margins at a time expensive stocks were still held. The full impact of this was felt in the first quarter. Operations continued to be affected by supply constraints brought about by insufficient pipeline pumping capacity and at times erratic production activity at the refinery.

In spite of this difficult operating environment, the company managed to recover the losses made in the first quarter and registered a modest after tax profit of Kshs. 37 million. Turnover declined by 44% as compared to the same period in 2008 mainly as a result of a decline in the selling prices occasioned by the decline in crude prices and imported petroleum products. Similarly, operating profits declined by Kshs. 821 million over the same period. Operating expense recorded a marginal increase of 1.2% despite an inflation rate of about 7.5%.

The results of the second half will be largely dependent on the stability of the international oil prices and the performance of the major sectors of our economy like Manufacturing, Tourism and Agriculture which form part of our major markets for petroleum products. The management is confident that our selective investments across key business segments together with our efforts at cost optimisation and effective management of stockholding to minimise negative stock effect will enable us take advantage of improved economic performance to deliver good results.

Felix Majekodunmi
Managing Director



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